

Your answer to these questions will help you determine whether your decision to use credit is a wise one. Unfortunately, the thought of purchasing something for cash and never receiving a bill was a foreign concept to Chuck. He was still paying on items that he no longer owned, like a financed couch that his dog destroyed, a stereo that no longer worked, and clothing that stayed in his closet since it was out of style. The knowledge that the things you own can be yours and not the bank's is a valuable lesson that Chuck will hopefully learn someday.

Robbing Peter to Pay Paul

A common tactic that many people use when they cannot pay their debts with their own income is to pay these bills with other forms of credit. While this may temporarily keep your money troubles at bay, ultimately, it is just a form of procrastination. Paying a credit card bill with another credit card just delays the inevitable and makes the situation worse. If you already have too much debt, why would you choose a solution that involves getting yourself even more in debt? Unfortunately, Perla chose this way out.

Perla was an expert juggler of debt. She had developed this skill to a fine art throughout college. Now that she was in the working world, she was juggling more and more bills at the same time. Perla didn't expect things to be like this forever. Since she was twenty-two years old, she had just started working full time. Her salary was low, but she knew that in time, when she got raises and work experience, things would be different. In the meantime, each month her juggling skills assured her that all of her bills would be paid.

Of course, it helped that many companies now accept credit cards as a form of payment. As long as she had available credit on her cards, she didn't have to worry about her bills

